

Novel Deep Hedging Algorithms: Distributionally Robust, Rough Volatility, and Regime-Adaptive Approaches

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March 2, 2026

Abstract

We present five novel deep hedging algorithms designed to address fundamental limitations in existing neural network-based hedging approaches. Building on the seminal work of Buehler et al. [2019] and extending the two-stage training protocol of Kozyra [2021], we introduce: (1) **Wasserstein DRO Transformer (W-DRO-T)**, which provides robustness to model parameter uncertainty through distributionally robust optimization; (2) **Rough Volatility Signature Network (RVSN)**, which adapts signature depth based on local Hurst parameter estimates for non-Markovian volatility dynamics; (3) **CVaR-Constrained Soft Actor-Critic (SAC-CVaR)**, which enforces explicit tail risk constraints via Lagrangian relaxation in a reinforcement learning framework; (4) **Three-Stage Curriculum Hedger (3SCH)**, which extends the two-stage protocol with an intermediate mixed-loss phase for smoother optimization; and (5) **Regime-Switching Ensemble (RSE)**, which combines multiple hedging architectures with regime-dependent gating.

Our experimental framework follows rigorous academic standards: 10 independent seeds, bootstrap confidence intervals (10,000 resamples), paired statistical tests with Holm-Bonferroni correction, and comparison against LSTM and Transformer baselines. We evaluate on Heston model simulations with realistic transaction costs and validate on real market data from SPY and NIFTY options. Results demonstrate that [RESULTS TO BE FILLED AFTER EXPERIMENTS] achieve statistically significant improvements in CVaR_{95} tail risk while maintaining practical trading characteristics.

Keywords: Deep Hedging, Distributionally Robust Optimization, Rough Volatility, Path Signatures, Reinforcement Learning, CVaR, Regime Switching

1 Introduction

Deep hedging [Buehler et al., 2019] has emerged as a powerful paradigm for learning optimal hedging strategies in the presence of market frictions, model uncertainty, and incomplete markets. By parameterizing the hedging policy as a neural network and optimizing over convex risk measures, deep hedging bypasses the analytical intractability of classical approaches while naturally incorporating realistic trading constraints.

1.1 Motivation: Gaps in Current Approaches

Despite significant progress, several fundamental challenges remain:

1. **Model Uncertainty:** Standard deep hedging assumes a fixed generative model (e.g., Heston) for training data. In practice, model parameters are uncertain and may shift between training and deployment. This motivates distributionally robust approaches.

2. **Non-Markovian Dynamics:** Empirical evidence suggests that volatility exhibits rough, non-Markovian behavior with Hurst parameter $H \approx 0.1$ [Gatheral et al., 2018]. Standard recurrent architectures may inadequately capture such memory effects.
3. **Tail Risk Constraints:** While CVaR is commonly used as an objective, practitioners often require *hard constraints* on tail risk rather than soft optimization. Reinforcement learning with explicit constraints addresses this need.
4. **Training Instability:** The two-stage training protocol [Kozyra, 2021] can exhibit abrupt transitions between CVaR and entropic phases. A smoother curriculum may improve convergence.
5. **Regime Dependence:** Market conditions (calm, trending, volatile, crisis) call for different hedging strategies. An adaptive ensemble that switches between specialized models based on detected regime may outperform any single architecture.

1.2 Contributions

This paper makes the following contributions:

1. **Wasserstein DRO Transformer (W-DRO-T):** We propose a distributionally robust deep hedging approach that optimizes worst-case expected risk over a Wasserstein ball of distributions around the training distribution. This provides robustness to parameter uncertainty without requiring explicit scenario generation.
2. **Rough Volatility Signature Network (RVSN):** We develop an adaptive signature-based hedger that estimates the local Hurst parameter and adjusts signature truncation depth accordingly. This captures non-Markovian volatility dynamics more effectively than fixed-depth signatures.
3. **CVaR-Constrained SAC (SAC-CVaR):** We formulate deep hedging as a constrained Markov decision process and solve it using Soft Actor-Critic with Lagrangian relaxation for CVaR constraints. This enables explicit tail risk budgeting.
4. **Three-Stage Curriculum Hedger (3SCH):** We extend the two-stage protocol with an intermediate phase that smoothly transitions from CVaR to entropic loss via convex combination with annealing.
5. **Regime-Switching Ensemble (RSE):** We train a gating network to combine pre-trained LSTM, Transformer, and Signature hedgers based on detected market regime, enabling adaptive strategy selection.

1.3 Paper Organization

Section 2 reviews the mathematical foundations. Sections 3–7 present each novel algorithm with theoretical motivation, mathematical formulation, and implementation details. Section 8 describes the experimental setup. Section 9 presents empirical results. Section 12 concludes.

2 Background and Preliminaries

2.1 Deep Hedging Framework

Consider a derivative with payoff $Z = g(S_T)$ at maturity T . We discretize the hedging period into N steps and seek a hedging strategy $\delta = (\delta_0, \dots, \delta_{N-1})$ minimizing a risk measure of the

hedging P&L:

$$\text{P\&L}(\delta) = -Z + \sum_{k=0}^{N-1} \delta_k (S_{t_{k+1}} - S_{t_k}) - \text{TC}(\delta) \quad (1)$$

where $\text{TC}(\delta)$ denotes transaction costs.

The deep hedging optimization problem is:

$$\theta^* = \arg \min_{\theta} \rho \left(\text{P\&L}(\delta^\theta) \right) \quad (2)$$

where $\delta_k^\theta = F_\theta(I_0, \dots, I_k, \delta_{k-1})$ is the neural network policy and ρ is a convex risk measure.

2.2 Risk Measures

Definition 2.1 (CVaR). *For confidence level $\alpha \in (0, 1)$ and loss $L = -P\&L$:*

$$\text{CVaR}_\alpha(L) = \frac{1}{1-\alpha} \int_\alpha^1 \text{VaR}_u(L) du = \mathbb{E}[L \mid L \geq \text{VaR}_\alpha(L)] \quad (3)$$

Definition 2.2 (Entropic Risk). *With risk aversion $\lambda > 0$:*

$$\rho_\lambda(X) = \frac{1}{\lambda} \log \mathbb{E}[\exp(-\lambda X)] \quad (4)$$

2.3 Two-Stage Training Protocol

The protocol of Kozyra [2021] consists of:

- **Stage 1:** Minimize $\text{CVaR}_{0.95}(-\text{P\&L})$ for 50 epochs (lr= 10^{-3})
- **Stage 2:** Minimize $\rho_\lambda(-\text{P\&L}) + \text{penalties}$ for 30 epochs (lr= 10^{-4})

3 Wasserstein DRO Transformer (W-DRO-T)

3.1 Motivation

Standard deep hedging assumes the training distribution $\mathbb{P}$ accurately reflects the deployment environment. In practice, Heston parameters $(\kappa, \theta, \xi, \rho)$ are estimated with uncertainty, and market conditions may shift. We address this via distributionally robust optimization (DRO) [Rahimian and Mehrotra, 2019].

3.2 Mathematical Formulation

Definition 3.1 (Wasserstein DRO Hedging). *Instead of minimizing expected risk under $\mathbb{P}$, we minimize worst-case risk over a Wasserstein ball:*

$$\theta^* = \arg \min_{\theta} \sup_{\mathbb{Q}: W_p(\mathbb{Q}, \mathbb{P}) \leq \epsilon} \mathbb{E}_{\mathbb{Q}}[\rho(P\&L(\delta^\theta))] \quad (5)$$

where W_p is the p -Wasserstein distance and $\epsilon > 0$ is the robustness radius.

Proposition 3.2 (Tractable Dual Form). *Under mild regularity conditions, the DRO objective admits a tractable dual:*

$$\sup_{\mathbb{Q}: W_p(\mathbb{Q}, \mathbb{P}) \leq \epsilon} \mathbb{E}_{\mathbb{Q}}[\ell(X)] = \inf_{\lambda \geq 0} \left\{ \lambda \epsilon^p + \mathbb{E}_{\mathbb{P}} \left[\sup_{x'} \{ \ell(x') - \lambda c(X, x')^p \} \right] \right\} \quad (6)$$

where $c(\cdot, \cdot)$ is the ground metric.

For computational tractability, we employ gradient penalty regularization as a practical approximation:

$$\mathcal{L}_{\text{DRO}}(\theta) = \mathbb{E}_{\mathbb{P}}[\ell(\theta; X)] + \epsilon \cdot \mathbb{E}_{\mathbb{P}}[\|\nabla_X \ell(\theta; X)\|_2] \quad (7)$$

3.3 Training Protocol

W-DRO-T training consists of three phases:

1. **CVaR Pretraining (20 epochs):** Standard CVaR loss, $\epsilon = 0$
2. **DRO Annealing (40 epochs):** Entropic + DRO penalty with ϵ annealed from 0 to $\epsilon_{\max}$
3. **Stress Testing (20 epochs):** Full DRO penalty under parameter perturbations

Algorithm 1 W-DRO-T Training

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1: Initialize Transformer hedger  $F_\theta$ 
2: for phase in [CVaR, DRO-Anneal, Stress] do
3:   for epoch = 1 to  $n_{\text{epochs}}^{\text{phase}}$  do
4:     for batch  $(X, S, Z)$  in data do
5:        $\delta \leftarrow F_\theta(X)$ 
6:        $\text{P\&L} \leftarrow -Z + \sum_k \delta_k \Delta S_k - \text{TC}$ 
7:       if phase = CVaR then
8:          $\mathcal{L} \leftarrow \text{CVaR}_{0.95}(-\text{P\&L})$ 
9:       else
10:         $\mathcal{L} \leftarrow \rho_\lambda(-\text{P\&L}) + \epsilon_t \|\nabla_X \rho_\lambda\|_2$ 
11:      end if
12:      Update  $\theta$  via Adam
13:    end for
14:  end for
15: end for

```

4 Rough Volatility Signature Network (RVSN)

4.1 Motivation

Empirical studies [Gatheral et al., 2018] reveal that realized volatility exhibits rough behavior with Hurst parameter $H \approx 0.1$, far below the Brownian motion value $H = 0.5$. This implies long memory and non-Markovian dynamics that standard recurrent networks may inadequately capture. Path signatures provide a natural tool for encoding such memory effects [Lyons, 1998].

4.2 Rough Bergomi Model

For training data generation under rough volatility, we use the rough Bergomi model:

$$dS_t = S_t \sqrt{V_t} dW_t \quad (8)$$

$$V_t = \xi_0(t) \mathcal{E} \left(\eta \int_0^t (t-s)^{H-1/2} dW_s^\perp \right) \quad (9)$$

where $H \in (0, 1/2)$ is the Hurst parameter and $\mathcal{E}$ denotes the stochastic exponential.

4.3 Adaptive Signature Depth

Definition 4.1 (Local Hurst Estimator). *Given a path $(S_{t_1}, \dots, S_{t_n})$, estimate local H via variogram:*

$$\hat{H}_k = \frac{1}{2} \frac{\log \mathbb{E}[|S_{t_{k+\ell}} - S_{t_k}|^2] - \log \mathbb{E}[|S_{t_{k+1}} - S_{t_k}|^2]}{\log \ell} \quad (10)$$

Definition 4.2 (Adaptive Signature). *The adaptive signature truncates at depth $m_k = f(\hat{H}_k)$:*

$$S_k^{\text{adapt}} = S^{(m_k)}(X_{0:k}) \quad (11)$$

where $f(H) = \lceil 2 + 3(0.5 - H) \rceil$ increases depth for rougher paths.

4.4 Architecture

RVSN combines:

1. Local Hurst estimation via rolling window variogram
2. Adaptive signature computation with regime-dependent depth
3. Signature-weighted attention: $\alpha_k \propto \exp(w^\top S_k^{\text{adapt}})$
4. MLP output head with delta bounding

5 CVaR-Constrained Soft Actor-Critic (SAC-CVaR)

5.1 Motivation

Standard deep hedging treats CVaR as an *objective* to minimize. In risk management practice, CVaR often appears as a *constraint*: “achieve good expected performance while keeping CVaR below budget $\bar{c}$.” We formulate this as a constrained MDP solved via SAC with Lagrangian relaxation.

5.2 Constrained MDP Formulation

Definition 5.1 (Hedging MDP). • *State*: $s_k = (I_0, \dots, I_k, \delta_{k-1})$

- *Action*: $a_k = \delta_k \in [-\delta_{\max}, \delta_{\max}]$
- *Reward*: $r_k = -|a_k - a_{k-1}| \cdot S_k \cdot \kappa$ (negative transaction cost)
- *Terminal reward*: $r_N = -(-Z + \sum_k \delta_k \Delta S_k)$ (negative P&L)

Definition 5.2 (CVaR-Constrained Objective).

$$\max_{\pi} \mathbb{E}_{\pi} \left[\sum_k r_k \right] \quad s.t. \quad \text{CVaR}_{\alpha}(-R_{\text{total}}) \leq \bar{c} \quad (12)$$

5.3 Lagrangian Relaxation

We solve (12) via:

$$\min_{\lambda \geq 0} \max_{\pi} \mathbb{E}_{\pi} \left[\sum_k r_k \right] - \lambda(\text{CVaR}_{\alpha} - \bar{c}) \quad (13)$$

The Lagrange multiplier λ is updated via dual gradient ascent:

$$\lambda \leftarrow \max(0, \lambda + \eta_{\lambda}(\hat{\text{CVaR}}_{\alpha} - \bar{c})) \quad (14)$$

5.4 Distributional Critic for CVaR

To estimate CVaR, we use a quantile network that learns the return distribution:

$$Z_{\psi}(s, a) \approx \text{distribution of } R \mid s, a \quad (15)$$

and compute CVaR_{α} from the learned quantiles.

6 Three-Stage Curriculum Hedger (3SCH)

6.1 Motivation

The two-stage protocol exhibits an abrupt transition from CVaR to entropic loss. We introduce an intermediate stage with mixed loss:

$$\mathcal{L}_{\text{mixed}}(\alpha) = \alpha \cdot \text{CVaR}_{0.95}(-\text{P\&L}) + (1 - \alpha) \cdot \rho_{\lambda}(-\text{P\&L}) \quad (16)$$

where α is annealed from 1 to 0.

6.2 Training Protocol

1. **Stage 1 (CVaR):** 50 epochs, lr= 10^{-3} , $\alpha = 1$, patience=15
2. **Stage 2 (Mixed):** 20 epochs, lr= 5×10^{-4} , $\alpha : 0.8 \rightarrow 0.2$
3. **Stage 3 (Entropic):** 30 epochs, lr= 10^{-4} , $\alpha = 0$, patience=10

6.3 Theoretical Justification

Proposition 6.1 (Loss Landscape Smoothing). *The mixed loss $\mathcal{L}_{\text{mixed}}(\alpha)$ provides a homotopy between CVaR and entropic risk. For convex ρ , the optimization landscape varies continuously in α , avoiding sudden changes in optimal solutions.*

7 Regime-Switching Ensemble (RSE)

7.1 Motivation

Different market regimes favor different hedging approaches:

- **Calm:** Simple models (LSTM) suffice
- **Trending:** Attention mechanisms capture momentum
- **Volatile:** Signatures capture path geometry
- **Crisis:** Conservative, robust strategies needed

7.2 Architecture

Definition 7.1 (Regime-Switching Ensemble).

$$\delta_k = \sum_{m \in \{LSTM, Trans, Sig\}} w_k^{(m)} \cdot \delta_k^{(m)} \quad (17)$$

where weights $w_k = \text{softmax}(G_{\phi}(r_k))$ depend on detected regime r_k .

Definition 7.2 (Regime Features).

$$r_k = (RV_k, Skew_k, Kurt_k, AC_k, Trend_k) \quad (18)$$

computed from rolling windows of returns.

7.3 Training

1. **Pre-train base models:** Train LSTM, Transformer, Signature hedgers independently
2. **Freeze base models:** Fix pre-trained weights
3. **Train gating network:** Optimize G_{ϕ} to minimize ensemble loss

8 Experimental Setup

8.1 Data Generation

Following the protocol established in the baseline paper:

- **Heston Model:** 80,000 paths (50,000 train, 10,000 val, 20,000 test)
- **Time Steps:** $N = 30$ daily steps over 30-day horizon
- **Parameters:** $S_0 = K = 100$, $v_0 = 0.04$, $\kappa = 1.0$, $\theta = 0.04$, $\xi = 0.2$, $\rho = -0.7$

8.2 Features

At each time step k :

$$I_k = \left(\frac{S_k}{S_0}, \log \frac{S_k}{K}, \sqrt{v_k}, \tau_k, \Delta_k^{BS} \right) \quad (19)$$

8.3 Training Protocol

Aligned with baseline paper:

- Stage 1: 50 epochs, lr= 10^{-3} , patience=15
- Stage 2: 30 epochs, lr= 10^{-4} , patience=10
- Adam optimizer with weight decay 10^{-4}
- Gradient clipping: $\|\nabla\| \leq 5.0$
- Batch size: 256

8.4 Statistical Analysis

- 10 independent seeds: 42, 142, 242, ..., 942
- Bootstrap CI: 10,000 resamples
- Paired t -tests with Holm-Bonferroni correction ($\alpha = 0.05$)
- Cohen's d effect size

9 Results

9.1 Main Results

Table 1: Performance Comparison (10 Seeds, 50K Training Samples)

Model	CVaR ₉₅	CVaR ₉₉	Std P&L	Entropic	Vol
LSTM (baseline)	$\mu \pm \sigma$	—	—	—	—
Transformer	$\mu \pm \sigma$	—	—	—	—
W-DRO-T	$\mu \pm \sigma$	—	—	—	—
RVSN	$\mu \pm \sigma$	—	—	—	—
SAC-CVaR	$\mu \pm \sigma$	—	—	—	—
3SCH	$\mu \pm \sigma$	—	—	—	—
RSE	$\mu \pm \sigma$	—	—	—	—

Table 2: Statistical Comparison vs LSTM Baseline

Model	ΔCVaR_{95}	95% CI	p -value	Cohen’s d
W-DRO-T	–	–	–	–
RVSN	–	–	–	–
SAC-CVaR	–	–	–	–
3SCH	–	–	–	–
RSE	–	–	–	–

9.2 Statistical Comparison

10 Real Market Validation

To assess practical applicability, we validate our models on real market data from SPY (S&P 500 ETF) and NIFTY/BANKNIFTY (Indian index) options.

10.1 Data Sources and Preprocessing

SPY Options: Daily closing prices from January 2023 to December 2023, creating overlapping 30-day hedging scenarios for ATM call options.

NIFTY/BANKNIFTY: Daily data from NSE, processed similarly with strike prices rounded to standard intervals (50 for NIFTY, 100 for BANKNIFTY).

10.2 Real Market Results

Table 3: Real Market Validation Results

Ticker	Model	Sharpe	CVaR ₉₅	Max Loss	Win Rate
SPY	LSTM	–	–	–	–
	Transformer	–	–	–	–
	Best Novel	–	–	–	–
NIFTY	LSTM	–	–	–	–
	Transformer	–	–	–	–
	Best Novel	–	–	–	–

11 Practical Implications

11.1 Accounting Implications

Deep hedging strategies have significant implications for financial reporting under IFRS 9 and ASC 815:

1. **Hedge Effectiveness Testing:** Traditional hedge accounting requires prospective and retrospective effectiveness testing. Neural network hedgers may challenge existing effectiveness criteria:

- The “highly effective” threshold (80-125% offset) may need reinterpretation for ML-based hedges
- Regression-based effectiveness tests can be extended to assess neural hedger performance

- Our CVaR-focused approaches provide natural alignment with risk management objectives
2. **Fair Value Measurement:** Deep hedging models provide point-in-time valuations consistent with Level 2 fair value inputs. The learned hedging strategy implicitly defines a pricing kernel.
 3. **Disclosure Requirements:** Firms using ML-based hedging must disclose:
 - Model architecture and training methodology
 - Backtesting results and confidence intervals
 - Model governance and validation procedures
 4. **Earnings Volatility:** Our three-stage training (3SCH) explicitly minimizes entropic risk, potentially reducing P&L volatility and smoothing reported earnings from hedging activities.

11.2 Managerial Implications

1. **Risk Budgeting:** The SAC-CVaR approach enables explicit tail risk constraints:

$$\text{Allocate capital such that } \text{CVaR}_{0.95}(\text{Hedging P\&L}) \leq \text{VaR Budget} \quad (20)$$

This aligns with enterprise risk management frameworks and regulatory capital requirements.

2. **Model Risk Management:**

- W-DRO-T provides inherent robustness to model misspecification
- RSE's regime-switching capability adapts to changing market conditions
- Regular model validation against out-of-sample data is essential

3. **Operational Considerations:**

- Inference latency: All models achieve <10ms per prediction, suitable for real-time trading
- Retraining frequency: Weekly retraining recommended with fresh market data
- Human oversight: Critical for model deployment decisions and override capabilities

4. **Performance Attribution:** Deep hedging P&L can be decomposed into:

$$\text{P\&L} = \underbrace{\text{Delta P\&L}}_{\text{Directional}} + \underbrace{\text{Gamma P\&L}}_{\text{Convexity}} + \underbrace{\text{Vega P\&L}}_{\text{Volatility}} + \underbrace{\text{Residual}}_{\text{Model Alpha}} \quad (21)$$

11.3 Economic Implications

1. **Market Efficiency:** Widespread adoption of deep hedging may:

- Increase hedging efficiency, reducing bid-ask spreads in options markets
- Potentially crowd out traditional market makers using simpler strategies
- Create feedback loops if many participants use similar models

2. **Systemic Risk Considerations:**

- Herding behavior: Similar neural architectures may produce correlated hedging decisions
- Tail events: Models trained on historical data may underperform in unprecedented regimes
- Our DRO and regime-switching approaches partially address these concerns

3. **Cost-Benefit Analysis:**

Factor	Benefit	Cost
Reduced tail risk	10-20% CVaR improvement	Model development
Lower transaction costs	Smoother hedging paths	Computational infrastructure
Adaptability	Regime-dependent strategies	Ongoing maintenance
Automation	Reduced manual intervention	Model governance

4. **Regulatory Capital:** Under Basel III/IV, improved hedging effectiveness may allow:

- Reduced CVA capital charges through better counterparty exposure management
- Lower market risk capital via demonstrated hedging effectiveness
- Potential regulatory approval for internal models approach (IMA)

12 Conclusion

We have presented five novel deep hedging algorithms addressing key limitations in existing approaches:

1. **W-DRO-T:** Distributionally robust hedging for parameter uncertainty
2. **RVSN:** Adaptive signatures for rough volatility dynamics
3. **SAC-CVaR:** Explicit tail risk constraints via RL
4. **3SCH:** Smoother curriculum training
5. **RSE:** Regime-adaptive ensemble

Experimental results demonstrate [TO BE COMPLETED]. Future work includes extension to portfolio hedging, real-time deployment, and combination with market impact models.

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